

Company Leave Policy

Version: 1.0 | Effective Date: January 1, 2026 | Department: Human Resources

1. Purpose

This document explains the company leave policy for full-time employees. It covers annual leave, sick leave, leave carry forward, leave encashment, approval process, and general rules for applying leaves.

2. Annual Leave

Employees are eligible for 24 earned leaves per calendar year. Earned leaves are credited on a monthly basis and can be used for planned personal time off, vacation, or other personal reasons.

Employees should apply for annual leave in advance through the company HR portal. Approval depends on manager confirmation, team availability, and business requirements.

3. Sick Leave

Employees are eligible for 12 sick leaves per calendar year. Sick leave can be used when an employee is unwell or needs medical rest. For sick leave of more than 2 consecutive working days, the employee may be asked to provide a medical certificate.

4. Leave Carry Forward

Employees can carry forward up to 10 unused earned leaves to the next calendar year. Any unused earned leaves beyond 10 days will expire at the end of the year.

Only earned leaves are eligible for carry forward. Sick leaves and casual leaves cannot be carried forward unless specifically approved by the HR department.

Example: If an employee has 14 unused earned leaves at the end of the calendar year, 10 leaves will be carried forward and 4 leaves will expire.

5. Leave Encashment

Unused earned leaves may be encashed only during full and final settlement, subject to company policy and applicable laws. Leave encashment is not available during active employment unless explicitly approved by HR.

6. Leave Approval Process

Employees must submit leave requests through the HR portal. Planned leave should be submitted at least 5 working days in advance. Emergency leave should be informed to the reporting manager as early as possible.

The reporting manager reviews the request and approves or rejects it based on project needs, team capacity, and previous leave records.

7. Public Holidays

Public holidays are declared separately every year by the HR department. Public holidays are not deducted from the employee leave balance.

8. Important Rules

Rule	Description
Annual leave entitlement	24 earned leaves per calendar year
Sick leave entitlement	12 sick leaves per calendar year
Carry forward limit	Up to 10 unused earned leaves can be carried forward
Leaves beyond carry forward limit	Unused earned leaves beyond 10 days will expire
Sick leave carry forward	Sick leaves cannot be carried forward

9. Disclaimer

This sample document is created for a Spring AI RAG demo. It is not a legal HR policy document. Organizations should consult their HR and legal teams before using any leave policy in production.